IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP/94 & 95/CAA/2020
In
CA/940 & 940-A/CAA/2019

(Filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Arrangement*

Between

M/s. LISTER TECHNOLOGIES PRIVATE LIMITED

... Petitioner / Demerged Company

And

M/s. LISTER VENTURES PRIVATE LIMITED

... Petitioner / Resulting Company

And

Their Respective Shareholders

Order Pronounced on 22nd January 2021

CORAM

R. VARADHARAJAN, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicant(s): P.V. Balasubramaniam, Advocate
For M/s. BFS Legal

COMMON ORDER

Per: **ANIL KUMAR B, MEMBER (TECHNICAL)**

1. CP/94 & 95/CAA/2020 are Company Petitions filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Arrangement, (Demerger)

(hereinafter referred to as the 'SCHEME') as contemplated between the Petitioner Companies viz. M/s. **Lister Technologies Private Limited** *(hereinafter referred to as "Demerged Company")* and **M/s. Lister Ventures Private Limited** *(hereinafter referred to as "Resulting Company")* under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 (for brevity 'the Act') read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') pursuant to the Scheme proposed between the Petitioner Companies and the said Scheme is also annexed as Annexure 6 to the typed set filed along with the CA/94/CAA/2020.

2. **1ST MOTION APPLICATION – IN BRIEF**

2.1. The Demerged and Resulting Companies have filed the First Motion Application vide CA/940 & 940-A/CAA/2019 seeking for directions for dispensation of the meetings of the Equity Shareholders / Secured / Unsecured Creditors and based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 03.10.2019, wherein the Petitioner Companies were directed to file the second motion application on or before 14.11.2019. Subsequent

to the said order, the Petitioner Companies have filed an MA/1136/2019 and sought for enlargement of time in relation to the filing of the second motion petition and accordingly the time was enlarged by the order of this Tribunal dated 23.10.2019 and the Petitioner Companies were directed to file the second motion application on or before 16.12.2019. Accordingly, the Petitioner Companies have filed the present Petition before this Tribunal on 12.12.2019 for sanction of the Scheme of Arrangement before this Tribunal.

3. **RATIONALE OF THE SCHEME**

3.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a. The Arrangement will strengthen, consolidate and develop the business operations of the Applicant Company along with the Resulting Company which will facilitate in focused growth, operational efficiency, business synergy, better supervision of the business of the group and more productive utilization of resources.

b. The demerger will enable greater management focus with respect to each business entity separately, resulting in more productive utilisation of the said resources and cost and operational efficiency which would be beneficial to all stakeholders.

c. The Demerger of the KPO Business of the Demerged Company with the Resulting Company will help in the creation of a platform for future business activities, and to act as a gateway for growth and expanding business operations wherein the business activities of each Company can be advantageously carried out independently with greater managerial supervision.

d. The proposed arrangement will reduce managerial overlaps, which are necessarily involved in running consolidated entities. The arrangement will also enable smoother implementation of policy changes at a higher level from a management perspective and shall also help enhance the efficiency and control of the entities.

4. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 27.02.2020 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies in relation to the Scheme, as well as for paper publication to be made in "Business Standard", English (Chennai Edition) and "Maalai Chudar" Tamil (Chennai Edition).

5. In compliance to the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service vide email to the Registry of this Tribunal on 09.07.2020 in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected the paper publication as directed by the Tribunal in one issue of "Business Standard" (Chennai Edition) in English and "Maalai Chudar" (Chennai Edition) in Tamil on 16.03.2020. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai (ii) Registrar of Companies Chennai on (iii) Assessing Officer, Income Tax Department. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued in the first motion itself, has filed his Report on 11.02.2020 before this Tribunal and has stated that Para 8 of Part II of the Scheme provides for the protection of the interest of the employees of the Demerged Company. It was further observed that as per the report of RoC, Chennai, the

Demerged Company has filed the statutory returns upto 31.03.2019 and since the Resulting Company was incorporated only in the year 2019, the first statutory returns are not yet due. Further, it is also stated in the report that no prosecution / Inspection or Investigation is pending against the Companies. Thus, after examining the Scheme, the Regional Director in para 9 of its Report has stated that they have decided not to make any objection to the Scheme.

6.2. **INCOME TAX DEPARTMENT**

In relation to the Department of Income Tax, upon notice being served, the Deputy Commissioner of Income Tax the Office of the Assistant Commissioner of Income Tax Corporation Circle – 4(1), vide its letter dated 22.11.2019 has issued a No Objection Certificate in relation to the Scheme as contemplated between the Petitioner Companies and the same is placed at page No. 247 of the typed set filed along with CA/95/CAA/2020.

In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the

following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

> "taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7. VALUATION REPORT

7.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Shirley Mathew, Registered Valuer dated 31.03.2019, wherein it has been recommended by the Independent Valuer as follows;

- The New Shares will be issued to registered fully paid – up equity shareholders of the demerged company in the ratio of 1:100 i.e. 1 equity share

of Re.1 each credited as fully paid up in the Resultant Company for every 100 equity shares of Re.1 each fully paid up held by them in the Demerged Company.

- It is agreed that the Resulting Company shall issue employee stock options ("ESOP's") to all the employees of the Demerged Company who currently hold ESOPs in the Demerged Company. The same shall be in the proportion of 1:100 of the equivalent holding in the Demerged Company. The same shall be subject to the same terms & conditions as the ESOPs held by the concerned employees in the Demerged Company.

8. **ACCOUNTING TREATMENT**

8.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies has complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of each Petitioner Companies are placed at pages 175 and 121 to the typed set of CA/94/CAA/2020 and CA/95/CAA/2020 respectively filed along with the petition.

9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "5" along with CA/95/CAA/2020 as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Hon'ble Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, rights and powers of Demerged undertaking be transferred without further act or deed to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged undertaking subject nevertheless to all changes now affecting the same; and

(ii) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged undertaking shall pursuant to Section 232 (3) of the Companies Act, 2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged undertaking shall be continued by or against the Resulting Company; and

(iv) That all the services of all the employees of the Demerged Company employed in the Demerged undertaking shall stand transferred to the Resulting Company on the same terms and conditions at which these employees are engaged by the Demerged Company without any interruption of service as a result of the transfer; and

(v) That upon the Scheme coming into effect, the Resulting Company shall, without any further application or deed, issue and allot 1,99,378 (One Lakh Ninety Nine Thousand Three Hundred and Seventy Eight) equity shares of face value of Re.1/- each, credited as fully paid up, to all the equity shareholders of the Demerged Company in the ratio of 1:100 i.e. 1 equity shares of Re.1 each credited as fully paid up in the Resultant Company

for every 100 equity shares of Re.1 each fully paid by held by them in the Demerged Company.

(vi) That the Appointed date for the Scheme is **1st April 2019**; and

(vii) That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged undertaking shall be deemed to be transferred; and

(viii) That any person interested in the Scheme, shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary;

11. Accordingly, the Company Petitions stand **allowed** on the aforementioned terms.

-SD-
(ANIL KUMAR B)
MEMBER (TECHNICAL)

-SD-
(R.VARADHARAJAN)
MEMBER (JUDICIAL)

Raymond